

FREEMARKETWATCH.WORLD

Session 3 of 6 · ~2 hours including discussion

The Blast Radius

What unlimited money creation does to real people

What We Know So Far

1913

Federal Reserve created — a central bank empowered to manage money supply

1971

Nixon severs last link between dollar and gold — money creation becomes unlimited

85×

Increase in US national debt since 1971 — from \$400B to over \$34 trillion

The constraint on money creation was removed in stages. Tonight we look at what that removal actually did — not to charts and statistics, but to people.

Debasement — Not Inflation

Technology makes production cheaper every year. Computers, phones, and televisions cost less in real terms than a decade ago because we got better at making them. If that logic held across the economy, most things should be getting cheaper over time.

The fact that they are not points to something else. Prices rise not because goods are gaining value — but because the money measuring them is losing it. A better word for this is debasement — the deliberate dilution of money's purchasing power through the creation of more of it.

Crucially: the value savers lose does not disappear. It is transferred — to those who created the new money and spent it first. This mechanism has a name.

The Cantillon Effect

“Inflation is not a tax that shows up on your bill. It is a tax that shows up when you realize your savings bought less than they used to — and nobody signed the legislation that took it.”

When new money is created, it enters the economy through banks, governments, and large financial institutions first. Those early recipients do not spend it randomly — they use it to buy the very assets they know will rise in price as the new money spreads through the economy.

Real estate. Equities. Businesses. They buy before prices have risen, capture the gains, and by the time that money filters down to ordinary wage earners, prices have already adjusted upward.

Workers and savers do not see rising wages. They see rising costs. The purchasing power has been silently transferred — from those who hold money to those who were first in line to spend the new supply.

The Blast Radius

War becomes affordable

Under hard money, wars required visible taxes. Citizens felt the cost. Under fiat, wars are financed by printing — the cost socialized invisibly across every citizen's savings, without a vote or a bill.

Wealth inequality accelerates

Asset owners get richer as money is created. Those relying on wages fall further behind. Not a failure of capitalism — a predictable consequence of the money itself.

Product quality degrades

Inflation squeezes purchasing power. Consumers buy on price. Producers cut costs. Shrinkflation, planned obsolescence, reduced durability. Incentives — not greed — drive this.

Debt becomes a way of life

The fiat system cannot function without debt — money is created through loans. Saving is punished; borrowing is subsidized. Record debt levels are a rational response to bad money, not a moral failure.

What This Looks Like in Your Community

The unbanked and underbanked

In developing countries, families watch savings evaporate through hyperinflation. People store wealth in cement blocks because holding cash is irrational. The fiat system actively traps them.

Housing out of reach

Housing isn't more expensive because it became more valuable. The wealthy use real estate to protect wealth from debasement. Families priced out are victims of monetary policy, not a housing shortage.

Wages that never catch up

Wage earners sit at the furthest end of the Cantillon chain. By the time new money reaches salaries, prices have already risen. The gap between earnings and cost of living widens systematically.

The erosion of savings

A dollar saved in 1971 buys about 15 cents in goods today. Savers are punished structurally. The incentive to build before you buy has been inverted by the system itself.

No Villain Required

What is striking about this list is that none of it required bad intentions. No single person designed a system to impoverish savers, fund endless wars, and hollow out the middle class.

These are emergent consequences of the structure of the monetary system itself. And that structure is insidious precisely because even well-intentioned people operating within it — bankers, politicians, central bank officials — will inevitably behave in ways that perpetuate the distortions.

The incentives the system creates are more powerful than the intentions of the individuals inside it. The problem is not greed. The problem is the architecture.

DISCUSSION — Session 3

1. Which consequence hit closest to home — housing, wages, debt, or quality? How does it feel to have an explanation for it?

2. "A rational response to bad money — not a moral failure." Does that framing change how you think about debt in your community?

3. If someone pushed back and said prices rise because of corporate greed — how would you respond now?

4. The wealth gap inflected sharply in 1971. Do you find that timing convincing? What would change your mind?

Coming Next — Session 4

“If bad money reshapes behavior, incentives, and society — then good money should do the opposite. And history shows it does.”

Homework prompt

Think of a decision shaped by the feeling that saving doesn't work, or debt is unavoidable. What would that decision look like in a world where savings actually held value?

Explore the data

freemarketwatch.world — compare purchasing power of currencies vs hard assets over 1, 5, and 10 years

Session 4 preview

Hard money changes everything — including how you think. What does the world look like when money actually holds its value?